

CONTOSO CORP

Performance Management Policy

Human Resources Division | Effective: January 1, 2024

|               |              |                |                       |
|---------------|--------------|----------------|-----------------------|
| Policy ID     | CON-HR-003   | Effective Date | January 1, 2024       |
| Last Reviewed | October 2023 | Policy Owner   | VP, Talent Management |

1. Purpose

This policy establishes a consistent, fair, and transparent performance management framework that aligns individual contributions with Contoso Corp's strategic objectives. The process is designed to motivate employees, identify development opportunities, recognize high performance, and address performance concerns constructively.

2. Annual Performance Cycle

| Phase                 | Timing                    | Activity                                                                                         |
|-----------------------|---------------------------|--------------------------------------------------------------------------------------------------|
| Goal Setting          | January 1 – January 31    | Manager and employee align on SMART goals for the year (minimum 3, maximum 5)                    |
| Mid-Year Check-In     | July 1 – July 31          | Informal progress review; goals may be adjusted for material changes in role or company strategy |
| Self-Assessment       | November 1 – November 15  | Employee completes self-evaluation in Workday against each goal and competency                   |
| Manager Review        | November 16 – December 10 | Manager drafts assessment, calibrates with peers, finalizes ratings                              |
| Review Conversation   | December 11 – December 20 | One-on-one discussion; employee receives written review; both parties sign                       |
| Compensation Planning | January (following year)  | Merit increases and bonuses linked to performance ratings                                        |

3. Rating Scale

| Rating | Label                | Description                                                                                            |
|--------|----------------------|--------------------------------------------------------------------------------------------------------|
| 5      | Exceptional          | Consistently exceeds all goals; demonstrates role-model behaviors; significant positive impact on team |
| 4      | Exceeds Expectations | Meets all goals and exceeds most; consistently strong performance with notable contributions           |
| 3      | Meets Expectations   | Fully meets all goals and expectations; reliable, effective contributor                                |
| 2      | Needs Improvement    | Partially meets goals; clear gaps in one or more areas requiring a documented improvement plan         |
| 1      | Unsatisfactory       | Does not meet core expectations; immediate corrective action required                                  |

4. Performance Improvement Plan (PIP)

Any employee receiving a rating of 2 or 1 will be placed on a Performance Improvement Plan (PIP) within 15 business days of the review conversation. A PIP must include:

- Specific, measurable performance deficiencies clearly documented.
- Concrete, achievable improvement targets with deadlines (typically 60–90 days).
- Required support resources: coaching, training, or additional tools.
- Bi-weekly check-in schedule with the manager.

- Clear statement of consequences if targets are not met.

Successful completion of a PIP does not automatically guarantee promotion or bonus eligibility in the current cycle. Employees may appeal a PIP to HR within 10 business days of issuance.

## **5. Continuous Feedback**

Contoso Corp encourages ongoing feedback outside the formal cycle. Managers are expected to hold at least monthly one-on-one meetings with each direct report. Employees may request feedback at any time via Workday's continuous feedback module. 360-degree feedback from peers and stakeholders is incorporated into the formal review for employees at Grade 7 and above.